of standards in terms of numbers. This is not possible in certain areas i.e., psychological areas such as job satisfaction, morale, motivation of the employees cannot be measured in terms of numbers.

- **Employees resistance:** some employees do not like to check their performances. This is because of their inferiority.
- **Time consuming:** It consumes more time for measuring the actual performance and comparing with standards. In large organisation, this problem exists.
- **Fixation of Wrong standards:** Control becomes futile if standards fixed were wrong. So top management while fixing any standards needs to study the environment both at micro and macro level.
- **Communication barriers:** Barriers to communication may pose a greater challenge for management. Communicating the standards and deviations of the subordinate may irritates them if their performance is not satisfactory.

This can be removed by the superior by selecting appropriate medium of communication.

9.8 Techniques of Controlling

1. **Budget and Budgetary Control:** A budget is a tool which helps the management in planning and controlling the business activities. A budget is an estimate of expected results expressed in numerical terms.

   There are various types of budgets like;
   1. Sales budget,
   2. Purchase budget,
   3. Production budget,
   4. Fixed budget,
   5. Flexible budget,
   6. Cash budget,
   7. Zero base budget etc

   Budgetary Control is a system of control whereby budgets are prepared for future period and compared with the actual results for finding out the variations. Corrective actions are taken in case of deviations.

2. **Break – Even point Analysis (BEP):** It is the tool used to analyse the Cost – Volume – Profit relationships. BEP is the point at which there no profit no loss. In this point the total costs are recovered. If the sales go up beyond the break even point , organisation makes profit. If they come down , it may secure loss.

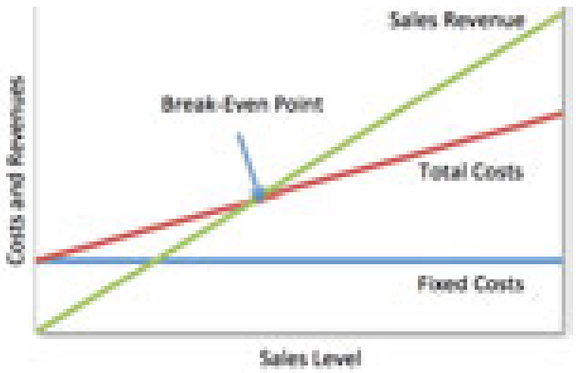


Figure 9.2 Output and Sales

Break Even Point in units

$$= \frac{\text{Fixed cost}}{\text{Price} - \text{Variable cost}}$$

Break even point is used to take decision regarding price for the marketers.

3. **Return on Investment (ROI):** Return on Investment is one of the ratio used as a tool for measuring the overall efficiency of the firm. It shows the relationship between profits (after interest and tax) and the proprietors fund.

$$\text{ROI} = \frac{\text{Net Profit (after interest and tax)}}{\text{Share holder fund}}$$

It is a powerful managerial technique.

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